

16 Sep 2026 09:22:21 ET | 14 pages

Poya (5904.TWO)

Positives Mostly Priced In; Downgrade to Neutral

CITI'S TAKE

We downgrade Poya to Neutral from Buy following its strong YTD share price performance. Although operating momentum remains positive in the near-term (we expect a strong Sep SSSG and solid 3Q earnings), we believe the rally has already reflected much of the benefit from robust SSSG YTD and margin expansion. Looking ahead, tough comparisons from 4Q26E may make solid SSSG harder to sustain, limiting earnings upside and potential weighing on stock sentiment. Meanwhile, Cosmed's expanding rollout of Olive Young brands adds to competition pressure for beauty spending. We trim our DCF-based TP to NT\$70, implying 18x NTM P/E vs. 5-year mean of 17x. We view current risk/reward as balanced.

Strong performance leaves less room for further upside — Poya's shares have rallied 73% YTD, outperforming the benchmark's 57% gain and broadly flat performance for the TW retail sector. This reflects strong operating deliver, including 6-7% YTD SSSG and solid margin expansion supported by op leverage and headcount optimization. While the company may continue to grow earnings through store expansion and productivity improvements, we believe much of this outlook is already priced in. Further share price appreciation may require additional earnings upside, which could become more difficult to deliver if SSSG moderates.

Tougher comp from 4Q26E could temper SSSG momentum — Poya's YTD SSSG has benefited from 4-5% ticket growth, partly reflecting price inflation, as well as traffic growth 1-2%. We expect the comp base to become more demanding from 4Q26E onward, increasing the hurdle for keeping the current growth rate. Slower SSSG could reduce incremental op leverage and limit further margin expansion. Given its YTD rally, a shift to positive but slower growth could weigh on sentiment.

Cosmed's Olive Young rollout raises competition pressure — Cosmed introduced four Olive Young, Korea's leading beauty retail channel, proprietary brands in late Dec 2025 and planned to expand dedicated sections to 120 stores by end-2026E (~20% of Cosmed's total store count), increasing local access to popular Korean beauty products. Per Cosmed, PSD at locations carrying OY brands increased by MSD y/y YTD vs. MSD y/y down across its overall network, suggesting the brands are gaining customer interest. We believe broader availability and product selection could intensify competition for customer visits and beauty spending, potentially slowing Poya's traffic growth and increasing promotional pressure. (continued)

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	2,804	26.72	9.5	2.8	1.1	41.6	31.3
2025A	3,143	29.52	10.5	2.5	1.0	41.2	34.6
2026E	4,004	3.76	-87.3	19.6	9.1	47.8	4.4
2027E	4,362	4.10	8.9	18.0	8.5	48.7	4.8
2028E	4,705	4.42	7.9	16.7	7.9	49.1	5.2

Source: Powered by dataCentral

Neutral ↓ from Buy

Price (16 Sep 26 15:00)	NT\$73.60
Target price	NT\$70.00↓ from NT\$74.50
Expected share price return	-4.9%
Expected dividend yield	5.0%
Expected total return	0.1%
Market Cap	NT\$78,343M US\$2,461M

Price Performance

(RIC: 5904.TWO, BB: 5904 TT)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

5904.TWO: Fiscal year end 31-Dec						Price: NT\$73.60; TP: NT\$70.00; Market Cap: NT\$78,343m; Recomm: Neutral					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	23,628	25,320	28,588	31,225	33,710	PE (x)	2.8	2.5	19.6	18.0	16.7
Cost of sales	-12,962	-13,873	-15,352	-16,778	-18,120	PB (x)	1.1	1.0	9.1	8.5	7.9
Gross profit	10,666	11,447	13,236	14,447	15,590	EV/EBITDA (x)	14.6	13.3	11.3	10.4	9.7
Gross Margin (%)	45.1	45.2	46.3	46.3	46.2	FCF yield (%)	54.4	62.6	9.1	8.1	8.9
EBITDA (Adj)	6,155	6,783	7,953	8,494	9,019	Dividend yield (%)	31.3	34.6	4.4	4.8	5.2
EBITDA Margin (Adj) (%)	26.1	26.8	27.8	27.2	26.8	Payout ratio (%)	86	86	86	86	86
Depreciation	-2,707	-2,908	-2,995	-3,085	-3,178	ROE (%)	41.6	41.2	47.8	48.7	49.1
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	3,448	3,875	4,958	5,409	5,841	EBITDA	6,155	6,783	7,953	8,494	9,019
EBIT Margin (Adj) (%)	14.6	15.3	17.3	17.3	17.3	Working capital	-378	-579	962	-218	-53
Net interest	0	0	0	0	0	Other	-412	-305	-814	-934	-1,030
Associates	0	0	0	0	0	Operating cashflow	5,365	5,898	8,102	7,342	7,936
Non-Op/Except/Other Adj	58	48	42	38	34	Capex	-1,162	-995	-995	-995	-995
Pre-tax profit	3,506	3,923	5,000	5,446	5,875	Net acq/disposals	13	11	9	9	9
Tax	-702	-781	-995	-1,084	-1,170	Other	-166	-164	-10	-10	-10
Extraord./Min.Int./Pref.div.	0	0	0	0	0	Investing cashflow	-1,316	-1,147	-996	-996	-996
Reported net profit	2,804	3,143	4,004	4,362	4,705	Dividends paid	-2,173	-2,414	-3,457	-3,765	-4,061
Net Margin (%)	11.9	12.4	14.0	14.0	14.0	Financing cashflow	-3,209	-3,912	-5,304	-5,666	-6,018
Core NPAT	2,804	3,143	4,004	4,362	4,705	Net change in cash	840	839	1,802	680	922
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	4,203	4,903	7,107	6,347	6,941
Reported EPS (\$)	26.72	29.52	3.76	4.10	4.42						
Core EPS (\$)	26.72	29.52	3.76	4.10	4.42						
DPS (\$)	23.00	25.50	3.25	3.54	3.82						
CFPS (\$)	51.12	55.41	7.61	6.90	7.46						
FCFPS (\$)	40.05	46.06	6.68	5.96	6.52						
BVPS (\$)	68.17	76.17	8.13	8.69	9.30						
Wtd avg ord shares (m)	105	106	1,064	1,064	1,064						
Wtd avg diluted shares (m)	105	106	1,064	1,064	1,064						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	7.0	7.2	12.9	9.2	8.0						
EBIT (Adj) (%)	8.0	12.4	28.0	9.1	8.0						
Core NPAT (%)	11.0	12.1	27.4	8.9	7.9						
Core EPS (%)	9.5	10.5	-87.3	8.9	7.9						
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	2,834	3,673	5,475	6,155	7,077						
Accounts receivables	1,497	1,594	1,487	1,624	1,753						
Inventory	5,979	6,809	5,602	5,889	6,109						
Net fixed & other tangibles	18,195	19,525	19,332	19,103	18,837						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	59	57	57	57	57						
Total assets	28,564	31,659	31,953	32,828	33,832						
Accounts payable	3,445	3,796	3,443	3,650	3,945						
Short-term debt	1,446	2,210	2,210	2,210	2,210						
Long-term debt	13,196	13,832	13,791	13,750	13,709						
Provisions & other liab	3,325	3,712	3,852	3,965	4,072						
Total liabilities	21,411	23,550	23,297	23,575	23,936						
Shareholders' equity	7,153	8,108	8,656	9,253	9,897						
Minority interests	0	0	0	0	0						
Total equity	7,153	8,108	8,656	9,253	9,897						
Net debt (Adj)	11,807	12,368	10,526	9,805	8,842						
Net debt to equity (Adj) (%)	165.1	152.5	121.6	106.0	89.3						

For definitions of the items in this table, please click [here](#).

Poya (5904.TWO): Positives Mostly Priced In; Downgrade to Neutral

Implications — We keep our earnings estimates largely unchanged for 2026–2028E yet we trim our DCF-based TP to NT\$70 from prior NT\$74.5 mainly to factor in a lower terminal growth of 4.5% (down from 5%). We also factor in its stock split in Aug 2026. Our target price of NT\$70 implies an 18x NTM forward P/E vs its 5-year historical mean of 17x, which looks balanced to us.

We believe Poya's store expansion and efficiency improvements may continue to support earnings, but we see limited scope for further re-rating given the earnings growth moderation (net profits +9% y/y in 2027E vs. +27% y/y in 2026E based on our estimate) and its strong share-price gains to date. Tougher comparisons and rising competition add uncertainty around the durability of SSSG momentum and margin expansion.

We would prefer to see sustained traffic growth through the higher comp base, clearer evidence of additional earnings upside or a more attractive entry point before becoming more positive on the shares.

Figure 1. Poya: Our Earnings Estimate Revision

NT\$ mn	2026E			2027E			2028E		
	New	Old	Chg	New	Old	Chg	New	Old	Chg
Revenue	28,588	28,580	0%	31,225	31,131	0%	33,710	33,091	2%
Gross profit	13,236	13,213	0%	14,447	14,431	0%	15,590	15,402	1%
OPEX	8,278	8,284	0%	9,038	9,003	0%	9,749	9,550	2%
Operating profit	4,958	4,929	1%	5,409	5,428	0%	5,841	5,852	0%
Pre-tax profit	5,000	4,971	1%	5,446	5,466	0%	5,875	5,886	0%
Net profit	4,004	3,982	1%	4,362	4,377	0%	4,705	4,714	0%
Ratio	New	Old	dfl	NeU	Old	dfl	NeU	Old	dfl
Gross margin (%)	46.3	46.2	0.1	46.3	46.4	-0.1	46.2	46.5	-0.3
OPEX to Sales ratio (%)	29.0	29.0	0.0	28.9	28.9	0.0	28.9	28.9	0.1
Operating margin (%)	17.3	17.2	0.1	17.3	17.4	-0.1	17.3	17.7	-0.4
Net margin (%)	14.0	13.9	0.1	14.0	14.1	-0.1	14.0	14.2	-0.3

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Source: Citi Research, Citi Research Estimates

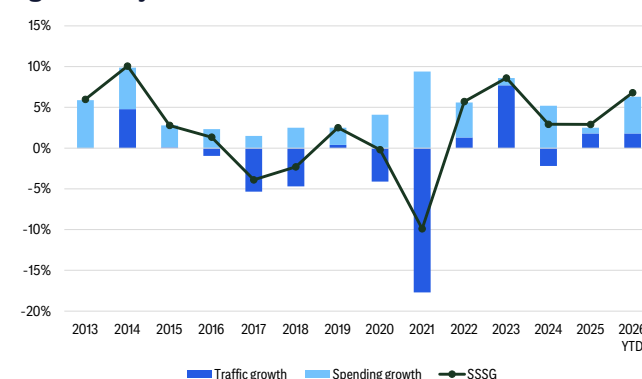
Figure 2. Poya: Monthly SSSG Trend

2024	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
SSSG	-9.1%	23.5%	10.0%	0.9%	5.1%	4.8%	-3.1%	0.8%	0.4%	-5.1%	4.0%	6.9%
Traffic growth	-8.0%	12.5%	3.9%	-3.5%	0.0%	0.2%	-6.7%	-3.3%	-4.0%	-10.8%	-2.6%	0.0%
Spending growth	-1.1%	10.5%	6.0%	4.6%	5.1%	4.6%	3.9%	4.3%	4.6%	6.4%	6.7%	7.0%
2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
SSSG	19.0%	-7.6%	1.1%	3.8%	5.1%	0.7%	-1.6%	4.4%	-1.8%	8.1%	8.4%	-2.7%
Traffic growth	8.1%	-9.9%	-5.4%	-1.1%	-0.1%	-3.0%	-3.8%	0.7%	-3.5%	5.4%	2.7%	-6.1%
Spending growth	10.2%	2.5%	6.9%	4.9%	5.2%	3.8%	2.4%	3.7%	1.8%	2.6%	5.6%	2.9%
2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
SSSG	-8.6%	14.7%	14.3%	10.4%	11.9%	1.1%	10.8%	3.0%				
Traffic growth	-7.0%	5.4%	5.9%	3.4%	6.1%	-3.5%	3.8%	1.1%				
Spending growth	-2.3%	7.9%	6.6%	6.1%	5.1%	4.6%	6.9%	1.9%				

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Source: Company Reports, Citi Research

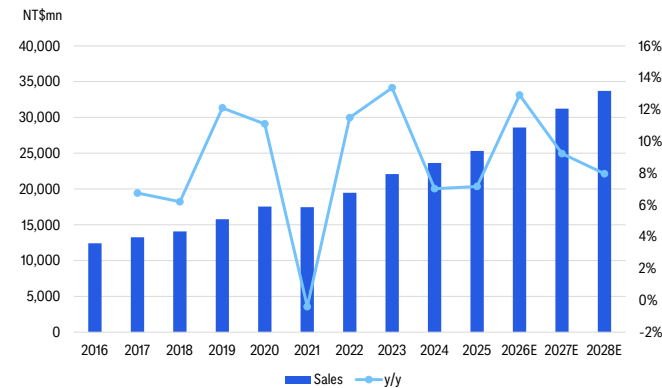
Figure 3. Poya: Annual SSSG Trend



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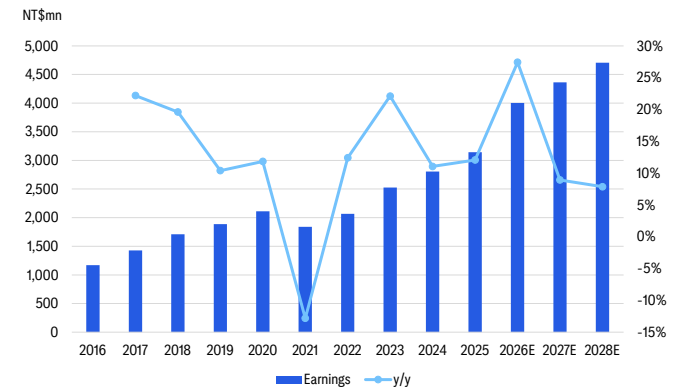
Source: Company Reports, Citi Research

Figure 4. Poya: Sales and y/y



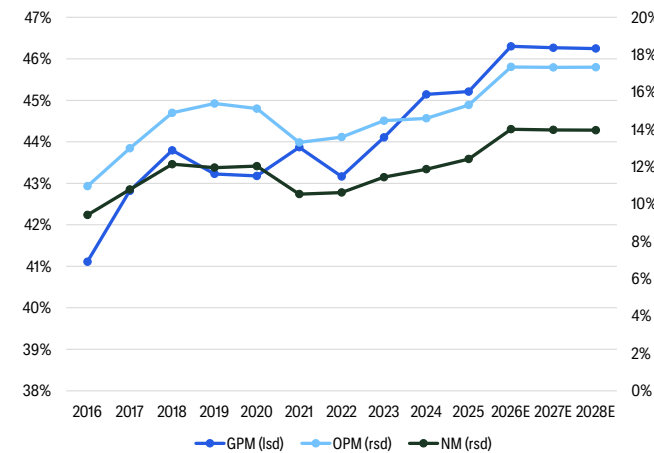
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Source: Company Reports, Citi Research, Citi Research Estimates

Figure 5. Poya: Net Profits and y/y



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Figure 6. Poya: Margins Trend



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Figure 7. Poya: Forward P/E and Earnings Growth y/y



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Bull/Bear: Poya (5904.TWO)

NT\$ 82.00



▲11% Upside

NT\$ 70.00



▼4.9% Downside

NT\$ 52.00



▼29% Downside

NT\$

90

75

60

45

30

Sep 25 Oct 25

16 Sep 26
NT\$73.60

Sep 26

Sep 27

NT\$82.00

NT\$70.00

NT\$52.00

Spread 41pp
Current Price and expected returns (upside/downside) as of 16 Sep 2026

BULL Assumptions



- Sales growth of 15-17% in 2026E
- OPM of 17.5-18.0% in 2026E
- Implied NTM P/E 21x

BASE Assumptions



- Sales growth of 10-15% in 2026E
- OPM of 17-17.5% in 2026E
- Implied NTM P/E 18x

BEAR Assumptions



- Sales growth of 5-10% in 2026E
- OPM of 15.5-16% in 2026E
- Implied NTM P/E 14x

Poya

Company description

Poya is the largest retailer of fast-moving consumer goods in Taiwan, focusing on low-priced cosmetics, accessories, clothing and food products for females aged 15–49. Poya had 470 stores in Taiwan at the end of 2025 and believes that the market can accommodate up to 700–800 stores before reaching saturation.

Investment strategy

We have a Neutral rating on Poya. We think YTD rally has baked in most positives, including strong SSSG and solid margin expansion. While fundamentals remain solid, tougher comparisons from 4Q26E could moderate this year's 6–7% SSSG, lowering operating leverage and capping further earnings upside. Meanwhile, Cosmed's expanding rollout of Olive Young brands is intensifying competition for beauty spending. Although Poya's SSSG has remained resilient, broader distribution of these brands could divert customer traffic and increase promotional pressure. We continue to recognize Poya's execution in store expansion and ongoing efficiency improvements. However, with these strengths largely reflected in the share price and growth momentum facing a higher hurdle from 4Q26E onward, we see a more balanced risk/reward.

Valuation

We derive our 12-month target price of NT\$70 for Poya from a DCF valuation method. Our assumptions include a terminal growth rate of 4.5% and WACC of 10.1% (beta of 1.05; risk-free rate of 4%; risk premium of 7.0%; cost of equity of 11.3%). Our target price implies a P/E of 18x on our NTM EPS.

Risks

Key downside risks that could mean the shares fail to achieve our target price include: intense price competition among online retailers, slower store traffic, margin dilution due to aggressive store expansion, and a soft macro environment.

Key upside risks that could mean the shares fail to achieve our target price include: easing price competition among online retailers, stronger store traffic, margin expansion thanks to strong cost control, and a stronger macro environment.

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Appendix A-1

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IMPORTANT DISCLOSURES

Poya (5904.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



	Date	Rating	Target Price	Closing Price
1	28-Feb-24 08:21:35	1	*60.29	48.52
2	08-May-24 07:52:30	1	*58.82	49.21

	Date	Rating	Target Price	Closing Price
3	29-Jul-24 10:35:16	1	*58.42	50.69
4	30-Jul-25 08:12:33	1	*56.50	46.50

	Date	Rating	Target Price	Closing Price
5	27-Apr-26 12:23:00	1	*63.00	52.20
6	27-Jul-26 06:55:55	1	*74.50	66.80

*Indicates Change

Rating/target price changes above reflect Eastern Time

Poya (5904.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	28-Jul-25 04:46:55	Add STV	Upside	30 Days	48.55
2	27-Aug-25 22:13:12	Remove STV	Upside	30 Days	45.90
3	27-Oct-25 03:28:53	Add STV	Upside	90 Days	44.00
4	25-Jan-26 20:18:18	Remove STV	Upside	90 Days	40.05

	Date	Action	Expected Direction	Duration	Closing Price
5	08-Feb-26 22:16:30	Add CW	Upside	30 Days	42.65
6	11-Mar-26 22:16:35	Remove CW	Upside	30 Days	50.00
7	27-Apr-26 08:23:00	Add STV	Upside	30 Days	52.20
8	27-May-26 22:22:55	Remove STV	Upside	30 Days	55.70

	Date	Action	Expected Direction	Duration	Closing Price
9	27-Jul-26 02:55:55	Add STV	Upside	30 Days	66.80
10	26-Aug-26 22:05:40	Remove STV	Upside	30 Days	74.80

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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